

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

PELTON INTERACTIVE, INC., *Complainant*

v.

FLEXPORT INTERNATIONAL LLC, *Respondent*.

DOCKET NO. 24-19

Served: September 22, 2025

ORDER OF: Mary Apostolakos HERVEY, *Administrative Law Judge*.

ORDER ON COMPLAINANT PELTON INTERACTIVE, INC.'S EXPEDITED SECOND CROSS-MOTION TO STRIKE

On September 17, 2025, Complainant Pelton Interactive, Inc.'s Expedited Second Cross-Motion to Strike was filed, (Dkt. 93), which seeks expedited entry of an order striking Respondent's Motion to Strike Expert Report of Gregory E. Smith (Dkt. 92). By email dated September 18, 2025, OALJ staff directed Respondent's counsel to respond to the expedited motion no later than September 19, 2025, at 5 p.m. On September 19, 2025, Respondent's Response to Complainant's Expedited Second Cross-Motion to Strike was filed. ("Respondent's Response.") For the reasons set forth below, Complainant's cross-motion to strike is denied but Complainant's reply brief deadline is extended to October 1, 2025, and its deadline for responding to Respondent's Motion to Strike Expert Report of Gregory E. Smith is extended to October 8, 2025.

Respondent's motion seeks to strike the supplemental expert report of Complainant's damages expert Gregory E. Smith on a number of grounds, including that the supplemental report was served on May 19, 2025, which is after the May 5, 2025, deadline for rebuttal reports established in the Second Amended Scheduling Order at Dkt. 39. (Dkt. 92, at 3-4.) Respondent's motion was served September 15, 2025. In accordance with 46 C.F.R. § 502.71(b), Complainant's response is due seven days thereafter on September 22, 2025.

In the cross-motion under consideration, Complainant requests that Respondent's motion to strike be stricken. Complainant raises a number of grounds in support of its cross-motion, each of which shall be addressed separately below. Alternatively, Complainant requests that the time to respond to Respondent's motion and to file its reply brief be extended to account for the time spent addressing Respondent's motion during the two-week period the scheduling order provides for drafting its reply brief.

In its response filed September 19, 2025, Respondent sets forth the timeline of relevant events and argues that Complainant had the opportunity to seek an extension to the discovery schedule but failed to do so. (Respondent's Response, at 1-3.) Respondent accuses

Complainant's counsel of engaging in sandbagging by filing an untimely supplemental report in which the expert who originally rendered an opinion on damages now provides an opinion as to liability. (Respondent's Response, at 3-4.) Respondent also argues that the June 30, 2025, order on pending motions merely provided that any unresolved disputes in the motions to compel filed at Dkt. 30 and 32 may be addressed in the parties' briefs and did not extend to the dispute currently at issue. (Dkt. 72; Respondent's Response, at 4-5.) Respondent also argues that while the parties engaged in a meet and confer about its own motion, Complainant's counsel failed to confer prior to filing its own motion. (Respondent's Response, at 5.)

Complainant's cross-motion to strike first argues that the motion is procedurally improper because it is not permitted by the scheduling order dated June 30, 2025. This argument is not persuasive because the June 30, 2025, Order on Pending Motions and Complainant's Unilateral Status Report and Amended Scheduling Order does not contain any deadline for filing dispositive or non-dispositive motions. Rather, the order merely addresses the parties' schedule for filing briefs, findings of fact, appendices, and responses thereto. (Dkt. 72, at 28.)

Complainant next argues that Respondent waived any objection to the supplemental expert report because it waited nearly four months after it was served on May 19, 2025, before moving to strike it. Continuing this argument, it notes that the supplemental report was timely served before the close of discovery based on files produced late by Respondent in a supplemental production after the conclusion of document production, fact depositions, and initial expert reports. It further notes that I relied on the substance of the supplemental expert report in finding that Complainant's reference to the detailed analysis in the supplemental report was sufficient to satisfy Judge Crovella's May 15, 2025, order to supplement its responses to Interrogatory Nos. 12, 13, and 14. (Dkt. 72, at 10.)

Citing *First National City Bank v. Burton M. Saks Construction Corp., et al.*, 70 F.R.D. 417, 419 (D.V.I. 1965), Complainant argues that filing a motion to strike months after the fact is prejudicial. This argument is not persuasive because *First National City Bank* involved a motion to strike affirmative defenses that were untimely under the timeline contemplated by Fed. R. Civ. P. 12(f), and, as such, is inapposite. As stated above, there was no deadline established for filing either dispositive or non-dispositive motions in this proceeding. Moreover, the record shows that Respondent's counsel advised Complainant's counsel by email on May 20, 2025, that it intended to move to strike the supplemental expert report on the grounds that it was untimely and that Gregory Smith had been identified as a damages expert but was now giving an opinion as to liability. The record also shows that Complainant's counsel responded by email the next day that for purposes of a motion to confer it opposed the motion. (Complainant's Appendix, at F-0134 to F-0136). I find that this record does not support Complainant's argument that Respondent waived its right to argue that the supplemental expert report is untimely and beyond the stated scope of expertise.

Complainant next argues that Respondent's motion is procedurally improper because the June 30, 2025, order instructed the parties on three separate occasions to address any unresolved discovery disputes within the briefing itself, but this is in fact not the case. Although it is true that the order did provide the opportunity for the parties to address certain unresolved discovery disputes in their briefs, it did not require the parties to do so. Nor did it preclude the parties from filing a motion. Rather, the order used permissive language stating that to the extent that

discovery issues then at issue have not been resolved by this order, the parties *may* raise objections and requests to exclude or obtain evidence in their briefs, citing to appropriate authority. (Dkt. 72, at 6, 25, 26.) As noted by Respondent in its response to the motion to strike, the June 30, 2025, order (Dkt. 72) expressly provided that any unresolved discovery issues “raised in the parties’ motions to compel (Dkt. 30, 32)” may be addressed in the parties’ briefs and did not address the current dispute. (Respondent’s Response, at 3-4.) As such, I find that the order did not preclude Respondent from filing a motion to strike the supplemental expert report.

Complainant next argues that by filing a separate motion in addition to its 78 page brief, Respondent exceeded the 80 page limit set forth in 46 C.F.R. § 502.214(e) by 12 pages, and failed to file a motion showing good cause no later than seven days before the brief is due in compliance with the rule. Because I find for the reasons stated above that Respondent’s motion to strike was procedurally proper, I do not find this argument to be persuasive.

Finally, Complainant argues that Respondent’s motion to strike failed to comply with the requirement in 46 C.F.R. § 502.71(a) to confer prior to filing a non-dispositive motion. As an initial matter, I find that Respondent’s motion to strike affirmatively states that the parties conferred in good faith, and that Complainant opposed the relief requested. (Dkt. 92, at 13.) Moreover, as set forth above, the record contains a May 2025 email exchange between the parties in which Respondent’s counsel stated that he intended to move to strike the supplemental report on the ground that it was untimely and beyond the scope of expertise in the original report, and Complainant’s counsel responded that the motion was opposed for purposes of a motion to confer. I find that this exchange satisfies the duty to meet and confer.

In its motion, Complainant’s counsel states that it emailed Respondent’s counsel about its intent to file the pending motion on September 16, 2025, in an effort to satisfy the meet and confer requirement set forth in 46 C.F.R. § 502.71(a) but that Respondent’s counsel only responded with a blank email containing their earlier May email exchange but not setting forth Respondent’s position. Given the expedited nature of the relief requested in the pending motion, I find the September 16, 2025, email exchange to satisfy the meet and confer requirement.

I find that Respondent’s motion to strike the supplemental expert report of Gregory E. Smith is procedurally proper and should be decided on the merits after full briefing by the parties. At the same time, Complainant’s counsel has asserted good cause for a two-day extension of the reply deadline to account for the time counsel expended addressing Respondent’s recently filed motion to strike. Good cause also exists to extend the deadline for Complainant’s response to Respondent’s motion on the ground that uninterrupted time is required to prepare a reply brief. Accordingly, Complainant’s deadline to respond to Respondent’s motion to strike shall be extended to seven days after the extended reply brief deadline.

For the above stated reasons,

It is **ORDERED** that Complainant’s cross-motion to strike is **DENIED**.

It is **FURTHER ORDERED** that Complainant’s deadline to file its reply brief is extended to **October 1, 2025**.

It is **FURTHER ORDERED** the Complainant's deadline to file its response to Respondent's Motion to Strike Expert Report of Gregory E. Smith is extended to **October 8, 2025**.

MARY A. HERVEY -S Digitally signed by MARY A.
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Date: 2025.09.22 15:29:43 -04'00'

Mary Apostolakos Hervey
Administrative Law Judge